

**CONSTRUCTION PAYMENT BOND**

Any singular reference to CONTRACTOR, SURETY, CITY or other party shall be considered plural where applicable.

CONTRACTOR (Name and Address):

SURETY (Name & Principal Place of Business):

CITY (Name and Address):

City of Lauderdale Lakes
Attn: Purchasing Division
4300 NW 36th Street
Lauderdale Lakes, FL 33319

CONSTRUCTION AGREEMENT

Date:
Amount:
Project (Name and Location):

BOND

Date (Not earlier than Construction Agreement Date):
Amount:

Modifications to this Bond:

☐ None

☐ See Page 3

CONTRACTOR AS PRINCIPAL

Company: (Corporate Seal)

SURETY

Company: (Corporate Seal)

Signature: _____
Name and Title:

Signature: _____
Name and Title:

(Any additional signatures appear on page 3)

FOR INFORMATION ONLY – Name, Address and Telephone)

AGENT or BROKER:

CITY'S REPRESENTATIVE (Architect, Engineer
or other party):



1. CONTRACTOR and SURETY, jointly and severally, bind themselves, their heirs, executors, administrators, successors and assigns to CITY to pay for labor, materials and equipment furnished for use in the performance of the Construction Contract, which is incorporated herein by reference.
2. THE CONDITION OF THIS BOND is that if CONTRACTOR:
 - 2.1 Promptly makes payment to all Claimants, as defined in Section 255.05(1), Florida Statutes, supplying CONTRACTOR with labor, materials, services and/or supplies, used directly or indirectly, by CONTRACTOR in the prosecution of the work provided in the Construction Contract, at the times and in the manner prescribed in the contract; and
 - 2.2 Pays CITY all losses, damages, expenses, costs, and attorney's fees, including appellate proceedings, that CITY sustains because of default by CONTRACTOR under the Construction Contract;then this Bond is void; otherwise, it remains in full force and effect.
3. Any changes in or under the Contract Documents and compliance or noncompliance with any formalities connected with the contract or the changes to the Construction Contract does not affect SURETY'S obligation under this bond.
4. SURETY shall have no obligation to Claimants under this Bond until:
 - 4.1 Claimants who are employed by or have a direct contract with CONTRACTOR have given notice to SURETY (at the address described in Paragraph 12) and sent a copy, or notice thereof, to CITY, stating that a claim is being made under this Bond and, with substantial accuracy, the amount of the claim;
 - 4.2 Claimants who do not have a direct contract with CONTRACTOR:
 1. Have furnished written notice to CONTRACTOR and sent a copy, or notice thereof, to CITY, within forty-five days after beginning to furnish labor, materials, or supplies; and
 2. Have furnished written notice to CONTRACTOR and sent a copy, or notice thereof, to CITY, within 90 days after having last performed labor or last furnished materials or equipment included in the claim stating, with substantial accuracy, the amount of the claim and the name of the party to whom the materials were furnished or supplied or for whom the labor was done or performed;
3. Have either received a rejection in whole or in part from CONTRACTOR, or not received within 30 days of furnishing the above notice any communication from CONTRACTOR by which CONTRACTOR has indicated the claim will be paid directly or indirectly; and
4. Not having been paid within the above 30 days, have sent a written notice to SURETY (at the address described in Paragraph 12) and sent a copy, or notice thereof, to CITY, stating that a claim is being made under this Bond and enclosing a copy of the previous written notice furnished to CONTRACTOR.
5. If a notice required by Paragraph 4 is given by CITY to CONTRACTOR or to SURETY, that is sufficient compliance.
6. When the Claimant has satisfied the conditions of Paragraph 4, SURETY shall promptly and at SURETY'S expense take the following actions:
 - 6.1 Send an answer to the Claimant, with a copy to CITY, within 45 days after receipt of the claim, stating the amounts that are undisputed and that basis for challenging any amounts that are disputed; and
 - 6.2 Pay or arrange for payment of any undisputed amounts.
7. SURETY'S total obligation shall not exceed the amount of this Bond, and the amount of this Bond shall be credited for any payments made in good faith by SURETY.
8. Amounts owed by CITY to CONTRACTOR under the Construction Contract shall be used for the performance of the Construction Contract and to satisfy claims, if any, under any Construction Performance Bond. By CONTRACTOR furnishing and CITY accepting this Bond, they agree that all funds earned by CONTRACTOR in the performance of the Construction Contract are dedicated to satisfy obligations of CONTRACTOR, and SURETY under this Bond, subject to CITY'S priority to use the funds for the completion of the work.
9. SURETY shall not be liable to CITY, Claimants or others for obligations of CONTRACTOR that are unrelated to the Construction Contract. CITY shall not be liable for payment of any costs or expenses of any Claimant under this Bond, and shall have under this Bond no obligations to make payments to, give notices on behalf of, or otherwise have obligations to Claimants under this Bond.



10. SURETY hereby waives notice of any change, including changes of time, to the Construction Contract or to related subcontracts, purchase orders and other obligations.
11. No suit or action shall be commenced by a Claimant under this Bond other than in a Court of competent jurisdiction in the location in which the work or part of the work is located of after the expiration of one year from the date (1) on which the Claimant gave the notice required by Subparagraph 4.1 or Clause 4.2(iii), or (2) on which the last labor or service was performed by anyone or the last materials or equipment were furnished by anyone under the Construction Contract, whichever of (1) or (2) first occurs. If the provisions of this Paragraph are void or prohibited by law, the minimum period of limitation available to sureties as a defense in the jurisdiction of the suit shall be applicable. Venue for the purposes of all litigation shall be in Broward County, Florida, exclusive of all other venues. This provision is intended to be a mandatory venue provision.
12. Notice to SURETY, CITY or CONTRACTOR shall be mailed or delivered to the address shown on the signature page. Actual receipt of notice by SURETY, CITY or CONTRACTOR, however accomplished, shall be sufficient compliance as of the date received at the address shown on the signature page.
13. When this Bond has been furnished to comply with a statutory or other legal requirement in the location where the construction was to be performed, any provision in the Bond conflicting with said statutory or legal requirement shall be deemed deleted here from and provisions conforming to such statutory or other legal requirement shall be deemed incorporated herein. The intent is, that this Bond shall be construed as a statutory bond and not as a common law bond.
14. Upon request by any person or entity appearing to be a potential beneficiary of this Bond, CONTRACTOR shall promptly furnish a copy of this Bond or shall permit a copy to be made.
15. DEFINITIONS
 - 15.1 Claimant: An individual or entity having a direct contract with the CONTRACTOR or with a subcontractor of CONTRACTOR to furnish labor, materials or equipment for use in the performance of the Construction Contract. The intent of this Bond shall be to include without limitation in the terms "labor, materials or equipment" that part of water, gas, power, light, heat, oil, gasoline, telephone service or rental equipment used in the Construction Contract, architectural and engineering services required for performance of the work of CONTRACTOR and CONTRACTOR's subcontractors, and all other items for which a mechanic's lien may be asserted in the jurisdiction where the labor, materials or equipment were furnished.
 - 15.2 Construction Contract: The agreement between CITY and CONTRACTOR identified on the signature page, including all Contract Documents and changes thereto shall be known as the Construction Contract.
 - 15.3 CITY Default: Failure of CITY, which has neither been remedied nor waived, to pay CONTRACTOR as required by the Construction Contract or to perform and complete or comply with the other terms thereof shall be deemed a CITY Default.
16. **Claimants to this bond must adhere to the notice and time limitation provisions of Section 255.05(2), Florida Statutes.**

(Space is provided below for additional signatures of added parties, other than those appearing on the cover page.)

CONTRACTOR AS PRINCIPAL

Company: _____ (Corporate Seal)

SURETY

Company: _____ (Corporate Seal)

Signature: _____
Name and Title:

Signature: _____
Name and Title: